WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BANGLADESH

Asia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Dhaka and the Gazipur–Narayanganj belt	Capital and seat of the new elected government, home to BIDA and the heart of the garment industry that earns over 80% of export revenue	Ready-made garments, financial services, ICT, consumer markets
Chattogram (Chittagong) port	Principal seaport and trade gateway; APM Terminals' $550 million Laldia terminal, Bangladesh's first fully foreign-invested container terminal, will add over 800,000 TEUs of capacity by 2030	Port logistics, shipping, heavy industry, trade
Chinese Economic and Industrial Zone, Chattogram	Government approved a $340 million infrastructure project in 2026, backed by concessional Chinese finance, targeting over $500 million of FDI in its first phase	Manufacturing, export-oriented industry
Matarbari / Maheshkhali (Cox's Bazar)	Site of the country's first deep seaport, with a 16-metre channel for larger vessels and operations targeted for 2029, alongside a priority BEZA economic zone	Deep-sea port logistics, energy, industry
National Special Economic Zone (Chattogram coast)	BEZA's flagship zone and one of five economic zones prioritised for utility and road connections	Large-scale manufacturing, logistics
Japanese Economic Zone (Narayanganj, near Dhaka)	Priority BEZA zone designed for Japanese and other international manufacturers, reinforced by the 2026 Japan–Bangladesh Economic Partnership Agreement	Light engineering, electronics, automotive components
Export Processing Zones (8, under BEPZA)	Enclaves with 566 enterprises that generated $8.41 billion of exports in FY2025/26, 17.5% of the national total, and employ over 558,000 people	Garments, textiles, footwear, light manufacturing

INVESTOR ENTRY ROUTES

- Bangladesh Investment Development Authority (BIDA), under the Prime Minister's Office, provides one-stop facilitation covering registration, approvals, visas and work permits, regulatory support and aftercare
- Foreign Private Investment (Promotion and Protection) Act 1980, guaranteeing fair and equitable treatment, protection against expropriation and repatriation of capital, profits and dividends

- Bangladesh Economic Zones Authority (BEZA) economic zones, with five prioritised for accelerated development, and BEPZA's eight Export Processing Zones offering ready-built industrial plots and incentives
- Bangladesh Bank operates a flexible, market-determined exchange rate; routine dividend remittances are processed through authorised dealer banks, generally without prior central bank approval
- Public-private partnership concessions, illustrated by the 30-year Laldia container terminal concession signed with the Chittagong Port Authority in November 2025
- Preferential export platforms: duty-free access to Japan for 7,379 product lines under the 2026 Economic Partnership Agreement and zero US duty on garments made with US cotton under the February 2026 reciprocal trade agreement

MARKET-ENTRY OBSERVATION

Bangladesh in October 2026 is a $500 billion economy of strong long-term potential, entering a new phase under the government of Prime Minister Tarique Rahman, sworn in on 17 February 2026 after a decisive election victory. Growth has been steady through the political transition, at 3.7% in FY2025/26 on the latest Bangladesh Bureau of Statistics estimate, and the government is targeting 6.5% in FY2026/27 with a record budget focused on investment, deregulation and jobs. Investor interest is recovering: net FDI rose 45% to $1.78 billion in 2025 according to UNCTAD, led by sharply higher reinvested earnings, while record remittances of $35.6 billion (+17.3%) in FY2025/26 have lifted gross reserves above $37 billion. New trade agreements with Japan and the United States, landmark port concessions and a joint BIDA–BEZA–BEPZA action plan are strengthening the investment case.

Bangladesh's main structural challenge is the health of its banking sector, where non-performing loans stood at 32.8% of total lending in June 2026, concentrated in a group of Islamic and newer private banks. The authorities are addressing this directly: the ratio has fallen by almost 3 percentage points since September 2025, five shariah-based banks have been merged into Sammilito Islami Bank, and the government requested a new IMF-supported programme in June 2026 to anchor further banking and revenue reforms. Foreign commercial banks, with an NPL ratio of 6.3%, remain well capitalised partners for international investors. With inflation easing from its 2024 peak to 8.3% and a firm commitment to a flexible exchange rate, the clean-up is creating opportunities in bank recapitalisation, asset resolution and financial services, and should support stronger credit growth as reforms take hold.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Banking-sector asset quality	Non-performing loans were 32.8% of total lending in June 2026, down from 35.7% in September 2025, and private-sector credit growth was about 5% in May 2026	Work with foreign and stronger local banks; bank consolidation and a planned new IMF programme create openings in recapitalisation, asset resolution and fintech
LDC graduation and trade preferences	Graduation is scheduled for 24 November 2026; the UN Committee for Development Policy and ECOSOC have backed a deferral to November 2029, pending final General Assembly approval	The UK has confirmed continued market access for three years after graduation, and the Japan EPA and US agreement provide additional preferential channels
Export concentration in garments	Ready-made garments earned $38.7 billion in FY2025/26, more than 80% of merchandise exports	Diversification into electronics, light engineering and agro-processing through economic zones is a priority, creating space for new-sector investors
Inflation and tight monetary policy	Inflation was 8.3% in September 2026 and the policy rate is held at 10%, keeping local borrowing costs elevated	Inflation has fallen from 11.7% in July 2024; a Tk600 billion stimulus supports industry, agriculture and smaller firms, and easing should follow disinflation
Foreign exchange and repatriation	Past delays in foreign-currency payments and transfer approvals affected some investors, but gross reserves have recovered to over $37 billion	Structure investments to use routine dividend remittance through authorised dealer banks, and apply standard hedging for taka exposure

Issue	Potential Impact	Possible Mitigation
Port and logistics capacity	Trade depends heavily on Chattogram, where congestion can raise lead times and costs	The Laldia terminal will add nearly 23% to Chattogram's container capacity by 2030 and Matarbari deep seaport targets operations by 2029, offering logistics investment opportunities
Contract enforcement and administration	Courts are slow and bureaucratic delays persist, though the judicial system is under reform	Include international arbitration clauses, use BIDA aftercare and zone authorities, and engage with the new government's deregulation agenda

INVESTOR RISK NOTE

Bangladesh's risk profile is that of a large, young and resilient economy completing a political transition and now rebuilding its financial foundations. The February 2026 election produced a government with a clear mandate and a stated ambition of a $1 trillion economy, and early actions, including the US and Japan trade agreements, port concessions and a request for a new IMF programme, point to a pragmatic, investor-friendly direction. The principal risks are domestic and well understood: a high stock of bad loans concentrated in specific banks, inflation that remains above target, and the transition out of LDC status, which UN bodies have supported deferring to 2029. Each is being actively managed, and record remittances, reserves above $37 billion and the flexible exchange-rate regime provide meaningful buffers. Investors should choose banking partners carefully, hedge currency exposure and include arbitration provisions, while positioning for the growth that reform and infrastructure upgrades are expected to unlock.

MARKET ACCESS

Bangladesh is a founding member of the WTO and currently enjoys duty-free, quota-free access as a least developed country to major markets including the EU, the UK and Canada, with the UK committed to maintaining access for three years after graduation. In February 2026 Bangladesh signed its first comprehensive Economic Partnership Agreement, with Japan, giving 7,379 product lines duty-free entry, and a reciprocal trade agreement with the United States setting a 19% tariff and zero duty on garments made with US cotton and synthetic fibres. The United States is the largest single export market ($9.04 billion in FY2025/26), followed by Germany and the United Kingdom. Chattogram is the main maritime gateway, with the Laldia terminal and Matarbari deep seaport set to expand capacity and allow larger vessels to call directly. Merchandise exports rose 6.3% to $13.1 billion in the first quarter of FY2026/27, signalling renewed momentum.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Tarique Rahman)	Sets the reform and investment agenda, including the target of a $1 trillion economy by 2034, and oversees BIDA	Primary reference point for strategic direction and high-level investment dialogue
Bangladesh Investment Development Authority (BIDA)	National investment promotion and facilitation agency; its Executive Chairman, Ashik Chowdhury, also leads BEZA	Standard first point of contact for market entry, approvals and aftercare
Bangladesh Bank (Governor Md. Mostaqur Rahman)	Central bank; sets monetary policy, manages the flexible taka and leads banking-sector restructuring	Relevant for repatriation, currency and financial-sector investment
Ministry of Finance (Amir Khasru Mahmud Chowdhury)	Leads fiscal policy, the record Tk938,000 crore FY2026/27 budget and IMF engagement	Key counterpart on tax, incentives and public-private partnership finance
Bangladesh Export Processing Zones Authority (BEPZA)	Operates eight EPZs with cumulative investment of $7.37 billion	Fast-track route for export-oriented manufacturing
Chittagong Port Authority	Manages the country's main seaport and its terminal concessions	Essential counterpart for port, logistics and shipping investment

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Commerce and Economic Relations Division	Lead trade negotiators and coordinators of the LDC graduation strategy and development-partner finance	Relevant for market-access planning and donor-backed projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Foreign Investors' Chamber of Commerce and Industry (FICCI) is the principal voice of international companies in Bangladesh, alongside the American Chamber of Commerce in Bangladesh, the Federation of Bangladesh Chambers of Commerce and Industry (FBCCI) and the Dhaka Chamber of Commerce and Industry. The Bangladesh Garment Manufacturers and Exporters Association (BGMEA) is the key gateway to the garment supply chain. BIDA hosts the Bangladesh Investment Summit and runs sector roadshows, while BEPZA has launched dedicated desks for East Asian investors. The World Bank, Asian Development Bank and Japan's JICA are long-standing development partners in infrastructure, energy and private-sector development, and the IMF is engaging with the government on a new reform programme.

INVESTOR PROFILE BEST SUITED

Bangladesh suits investors seeking scale, competitive labour costs and access to a large domestic market of a young, increasingly urban population: export-oriented manufacturers in garments, textiles, footwear and light engineering using EPZ and economic-zone platforms and new US and Japanese trade preferences; logistics and infrastructure investors drawn by port concessions and PPP opportunities; consumer, ICT and fintech businesses serving rising middle-class demand; and financial investors with the expertise to participate in banking-sector restructuring. Investors should favour strong banking partners, hedge taka exposure and phase commitments in line with reform progress.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage BIDA and the zone authorities early
Use BIDA's one-stop service for registration, approvals and work permits, and compare BEZA and BEPZA zone offers for land, utilities and incentives.

STEP 2: Structure around the 1980 Act and repatriation channels
Confirm protections under the Foreign Private Investment Act and set up dividend and fee flows through authorised dealer banks from the outset.

STEP 3: Select banking partners carefully
Work with foreign commercial banks or well-capitalised local banks, and apply standard currency hedging for taka exposure.

STEP 4: Plan exports around new trade preferences
Map products to the Japan EPA, the US agreement and the LDC graduation timetable to secure the most favourable market access.

STEP 5: Track infrastructure and reform milestones
Follow Laldia and Matarbari port progress, the IMF programme and banking reforms, which together will shape costs and financing conditions.